

Rigetti Computing, Inc.

RGTI NASDAQ

Hold	\$24.84 ▼ 5.98%	12M Price Target \$22.00	52-Week Range \$10.30 – \$58.15	Market Cap \$8.26B
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RGTI: Trim Into Strength; Quantinuum IPO Validates But Pressures Multiple

WHAT'S CHANGED

- RGTI ripped +65% over five sessions (5/19 close \$15.96 → 5/22 high \$26.42) on \$100M government backing and Trump administration's \$2B quantum funding allocation; volume peaked at 203M shares on 5/22, ~10x prior baseline, signaling momentum/retail flow.
- Quantinuum filed for \$1.05B US IPO this morning — directly comparable pure-play quantum competitor, which validates sector TAM but introduces a higher-fidelity, better-capitalized public peer that will compete for institutional capital.

IMPLICATIONS

The \$100M federal backing materially de-risks RGTI's funding runway through 2027 and signals USG commitment to domestic superconducting-qubit capability, supporting the thesis that Rigetti is a strategic national asset. However, Quantinuum's IPO at a likely \$10B+ valuation creates a direct benchmarking event: investors will compare RGTI's 84-qubit Ankaa-3 and ~99.5% 2Q gate fidelity against Quantinuum's trapped-ion roadmap, and capital may rotate toward the better-capitalized incumbent. Today's -6% pullback reflects this rotation risk on top of profit-taking after a parabolic run.

VALUATION

At \$8.26B market cap on roughly \$15-20M trailing revenue, RGTI trades at ~450x EV/Sales — a multiple that prices in commercial quantum advantage by 2028, leaving little margin for execution slippage. Our \$22 base PT reflects a normalized \$5B EV (~250x FY26 sales), in line with a Quantinuum-anchored peer set post-IPO; bull case to \$50 requires a multi-hundred-million government program win or a verified quantum-advantage benchmark. Multiple compression is the dominant near-term risk as the float absorbs the post-rally supply and Quantinuum's roadshow draws comparison capital.

KEY RISKS

- Quantinuum IPO reprices the entire pure-play quantum cohort lower if priced at a sales multiple discount to RGTI.
- Equity dilution risk — RGTI has historically used ATM facilities at peak prices; a raise here is highly probable.
- Technical milestone slippage on the 100+ qubit modular system roadmap, or fidelity benchmarks lagging IonQ/Quantinuum.

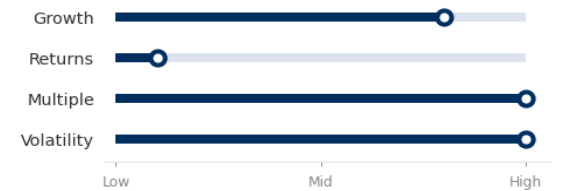
RECENT NEWS

Honeywell-Backed Quantinuum Seeks \$1.05 Billion in US IPO Bloomberg · 2026-05-26 14:38

Key Data

Price (USD)	\$24.84
12M Price Target	\$22.00
Upside / (Downside)	-11.4%
Market Cap	\$8.26B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.32)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$32.00	\$22.00	\$16.00
6 Months	\$40.00	\$24.00	\$14.00
1 Year	\$50.00	\$28.00	\$12.00
2 Years	\$75.00	\$35.00	\$9.00
5 Years	\$140.00	\$55.00	\$6.00
10 Years	\$300.00	\$90.00	\$3.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+5.79% 5D), Utilities (+3.63% 5D — AI/quantum power demand proxy)

COLD SECTORS: Financials (+0.38% 5D), Real Estate (lagging on rate uncertainty)

ROTATION WATCH: Capital is rotating into deep-tech/AI-adjacent infrastructure plays as the administration's \$2B quantum allocation reinforces semiconductor and frontier-compute narratives; expect continued bid in quantum, advanced packaging, and cryogenic cooling names.

BYPRODUCT PLAY: Cryogenic infrastructure (FormFactor, Bluefors-exposed names), specialty helium suppliers, and quantum-cloud integrators (IBM, AMZN Braket) benefit indirectly from federal quantum spend without single-vendor binary risk.

OUTPERFORMERS & PEER CONTEXT

- IONQ (IonQ): Trapped-ion peer up materially YTD on networking/AFRL contracts; widely viewed as the institutional-quality quantum pure-play.
- QBTS (D-Wave Quantum): Annealing-based player riding the same federal funding wave with stronger near-term commercial revenue ramp.

RGTI CONTEXT: RGTI's +65% five-day move outpaced IONQ and QBTS on the federal-backing news, but the relative outperformance is largely retail-driven momentum, not fundamental separation. With Quantinuum entering the public market, RGTI loses its scarcity premium as the "American superconducting quantum bet."

INVESTMENT STRATEGY

5/10 Conviction Score

Position Size: 1-2% of portfolio (speculative sleeve)

Entry Points: \$15-18 on consolidation post-spike

Time Horizon: 12-24 months

Thesis Invalidation: Loss of DARPA/government contracts; qubit fidelity miss vs 99.5% roadmap; dilutive raise >15%

Hedging: Pair long RGTI vs short IONQ or basket; covered calls at \$30+ strikes